

# INTERIM FINANCIAL STATEMENTS

**ASIA ASSET FINANCE PLC**



**ASIA ASSET**  
FINANCE PLC

*The unconventional finance company*

**For the period ended 30th September 2020**



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|                                                                                      | For the Quarter Ended |                    |             | For the Six Months Ended |                    |             |
|--------------------------------------------------------------------------------------|-----------------------|--------------------|-------------|--------------------------|--------------------|-------------|
|                                                                                      | 30.09.2020            | 30.09.2019         | Change      | 30.09.2020               | 30.09.2019         | Change      |
|                                                                                      | LKR                   | LKR                |             | LKR                      | LKR                |             |
|                                                                                      | Unaudited*            | Unaudited*         | %           | Unaudited*               | Audited*           | %           |
| Interest Income                                                                      | 730,610,742           | 759,877,120        | -3.9%       | 1,407,778,369            | 1,507,438,084      | -7%         |
| Interest Expenses                                                                    | (365,507,204)         | (420,446,681)      | -13.1%      | (772,929,045)            | (833,594,406)      | -7%         |
| <b>Net Interest Income</b>                                                           | <b>365,103,538</b>    | <b>339,430,440</b> | <b>7.6%</b> | <b>634,849,324</b>       | <b>673,843,679</b> | <b>-6%</b>  |
| Net Trading Gain/(Loss) on Equity Securities                                         | -                     | -                  | 0.00%       | -                        | -                  | 0%          |
| Other Operating Income                                                               | 29,037,671            | 97,272,437         | -70.1%      | 49,267,335               | 147,914,471        | -67%        |
| <b>Less: Operating Expenses</b>                                                      |                       |                    |             |                          |                    |             |
| Personnel Costs                                                                      | (57,227,967)          | (81,435,366)       | -29.7%      | (114,910,052)            | (153,728,110)      | -25%        |
| Provision for Staff Retirement Benefits                                              | (2,100,000)           | (2,288,415)        | -8.2%       | (4,200,000)              | (4,576,830)        | -8%         |
| General and Administration Expenses                                                  | (184,734,912)         | (218,925,660)      | -15.6%      | (334,154,705)            | (405,947,140)      | -18%        |
| Impairment Charge for Lease Rentals Receivable, Hire Purchase and Loans and Advances | (96,895,833)          | (87,536,906)       | 10.7%       | (184,601,101)            | (170,195,240)      | 8%          |
| <b>Operating Profit before Value Added Tax on Financial Services</b>                 | <b>53,182,496</b>     | <b>46,516,530</b>  | <b>14%</b>  | <b>46,250,800</b>        | <b>87,310,830</b>  | <b>-47%</b> |
| Value Added Tax on Financial Services                                                | (15,000,000)          | (11,330,000)       | 32%         | (25,000,000)             | (24,310,000)       | 3%          |
| <b>Profit Before Taxation</b>                                                        | <b>38,182,496</b>     | <b>35,186,530</b>  | <b>9%</b>   | <b>21,250,800</b>        | <b>63,000,830</b>  | <b>-66%</b> |
| Income Tax (Expenses) / Reversal                                                     | (20,000,000)          | (6,150,000)        | 225%        | (20,000,000)             | (8,950,000)        | 123%        |
| <b>Profit for the Period</b>                                                         | <b>18,182,496</b>     | <b>29,036,530</b>  | <b>-37%</b> | <b>1,250,800</b>         | <b>54,050,830</b>  | <b>-98%</b> |
| Actuarial Loss on Retirement Benefit Liability                                       | -                     | -                  | -           | -                        | -                  | -           |
| Income Tax on Components of Other Comprehensive Income                               | -                     | -                  | -           | -                        | -                  | -           |
| <b>Other Comprehensive Income for the Period Net of Tax</b>                          | <b>-</b>              | <b>-</b>           | <b>-</b>    | <b>-</b>                 | <b>-</b>           | <b>-</b>    |
| <b>Total Comprehensive Income for the Period</b>                                     | <b>18,182,496</b>     | <b>29,036,530</b>  | <b>-37%</b> | <b>1,250,800</b>         | <b>54,050,830</b>  | <b>-98%</b> |
| <b>Earnings Per Share - Basic</b>                                                    | <b>0.15</b>           | <b>0.85</b>        | <b>-83%</b> | <b>0.01</b>              | <b>1.36</b>        | <b>-99%</b> |

\* The above figures are provisional and subject to audit.

\* Figures in brackets indicate deductions.

|                                                                                 | 30.09.2020<br>LKR<br>Unaudited* | 31.03.2020<br>LKR<br>Audited* | Change<br>%  |
|---------------------------------------------------------------------------------|---------------------------------|-------------------------------|--------------|
| <b>ASSETS</b>                                                                   |                                 |                               |              |
| Cash and Cash Equivalents                                                       | 766,920,748                     | 511,939,133                   | 49.8%        |
| Investment in Reverse Repurchase Agreements<br>Against Treasury Bills and Bonds | 1,228,511,946                   | 860,630,696                   | 42.7%        |
| Loans and Advances                                                              | 8,505,400,303                   | 8,913,047,649                 | -4.6%        |
| Lease Rentals Receivable and Hire Purchase                                      | 3,088,786,379                   | 3,726,488,702                 | -17.1%       |
| Other Assets                                                                    | 14,818,751                      | 16,983,813                    | -12.7%       |
| Income Tax Receivable                                                           | 27,698,763                      | 27,736,580                    | -0.1%        |
| Vehicle Stock                                                                   | (0)                             | (0)                           | 0.0%         |
| Advances, Deposits and Prepayments                                              | 141,330,875                     | 156,189,223                   | -9.5%        |
| Financial Assets - Available for Sale                                           | 506,659                         | 506,659                       | 0.0%         |
| Right-of-use assets                                                             | 120,023,114                     | 137,210,457                   | -12.5%       |
| Property, Plant and Equipment                                                   | 114,435,058                     | 138,032,482                   | -17.1%       |
| Investment Property                                                             | 396,038,269                     | 399,678,109                   | -0.9%        |
| Deferred Tax Assets                                                             | 205,922,647                     | 225,922,647                   | -8.9%        |
| Intangible Assets                                                               | 38,286,911                      | 40,220,339                    | -4.8%        |
| <b>Total Assets</b>                                                             | <b>14,648,680,426</b>           | <b>15,154,586,490</b>         | <b>-3.3%</b> |
| <b>LIABILITIES</b>                                                              |                                 |                               |              |
| Due to Banks                                                                    | 89,437,464                      | 58,777,776                    | 52.2%        |
| Other Liabilities                                                               | 32,784,949                      | 96,622,133                    | -66.1%       |
| Other Borrowed Funds                                                            | 5,682,453,265                   | 6,086,325,326                 | -6.6%        |
| Lease liability                                                                 | 121,865,689                     | 126,200,873                   | -3.4%        |
| Due to Customers                                                                | 6,516,987,831                   | 6,585,234,705                 | -1.0%        |
| Retirement Benefit Liability                                                    | 32,447,614                      | 29,972,864                    | 8.3%         |
| <b>Total Liabilities</b>                                                        | <b>12,475,976,812</b>           | <b>12,983,133,677</b>         | <b>-3.9%</b> |
| <b>SHAREHOLDERS' FUNDS</b>                                                      |                                 |                               |              |
| Stated Capital                                                                  | 1,791,478,691                   | 1,791,478,691                 | 0.0%         |
| Retained Earnings                                                               | 304,458,570                     | 303,207,769                   | 0.4%         |
| Statutory Reserve Fund and Other Reserves                                       | 76,766,353                      | 76,766,353                    | 0.0%         |
| <b>Total Equity</b>                                                             | <b>2,172,703,614</b>            | <b>2,171,452,813</b>          | <b>0.1%</b>  |
| <b>Total Equity and Liabilities</b>                                             | <b>14,648,680,426</b>           | <b>15,154,586,490</b>         | <b>-3.3%</b> |
| <b>Net Assets Per Share</b>                                                     | <b>17.49</b>                    | <b>17.50</b>                  | <b>0.0%</b>  |

\* Figures in brackets indicate deductions.

I certify that the above Interim Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007 and give a true and fair view of the state of affairs of Asia Asset Finance PLC as at 30th September 2020 and its profit for the Period ended 30th September 2020.

.....Sgd.....

**Nawasdeen Ihlal**

Senior Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these Interim Financial Statements.

.....Sgd.....

**R.J.A. Gunawardena**

Director/CEO

.....Sgd.....

**Thusitha Perera**

Director/Chairman of the Audit Committee

12th November 2020

Colombo

\* The above figures are provisional and subject to audit.

ASIA ASSET FINANCE PLC  
STATEMENT OF CHANGES IN EQUITY  
FOR THE PERIOD ENDED 30TH SEPTEMBER, 2020

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|                                                                      | Stated<br>Capital<br>Rs. | General<br>Reserve<br>Rs. | Statutory<br>Reserve<br>Fund<br>Rs. | Accumulated<br>Profit/(Loss)<br>Rs. | Total<br>Rs.         |
|----------------------------------------------------------------------|--------------------------|---------------------------|-------------------------------------|-------------------------------------|----------------------|
| <b>Balance as at 1st April, 2019 (Audited)</b>                       | 1,640,493,541            | 3,000,000                 | 70,387,374                          | 239,007,167                         | 1,952,888,082        |
| <b>Total comprehensive income for the Three Months</b>               |                          |                           |                                     |                                     |                      |
| Profit for the six months Ended 30th September 2019                  | -                        | -                         | -                                   | 54,050,830                          | 54,050,830           |
| Other comprehensive income (net of tax)                              |                          |                           |                                     | -                                   | -                    |
| <b>Transaction with equity holders recognized directly in equity</b> |                          |                           |                                     |                                     |                      |
| Proceeds from right issue of ordinary shares                         | 150,985,150              |                           |                                     |                                     | 150,985,150          |
| Transferred to/from reserves During the Period                       | -                        | -                         | 1,122,534                           | (1,122,534)                         | -                    |
|                                                                      | <b>150,985,150</b>       | <b>-</b>                  | <b>1,122,534</b>                    | <b>(1,122,534)</b>                  | <b>150,985,150</b>   |
| <b>Balance as at 30th September, 2019 (Unaudited)</b>                | <b>1,791,478,691</b>     | <b>3,000,000</b>          | <b>71,509,908</b>                   | <b>291,935,463</b>                  | <b>2,157,924,062</b> |
| <b>Balance as at 1st April, 2020 (Audited*)</b>                      | 1,791,478,691            | 3,000,000                 | 73,766,353                          | 303,207,770                         | 2,171,452,814        |
| Profit for the six months Ended 30th September 2020                  | -                        | -                         | -                                   | 1,250,800                           | 1,250,800            |
| Other comprehensive income (net of tax)                              |                          | -                         |                                     | -                                   | -                    |
| <b>Total comprehensive income for the year</b>                       |                          |                           |                                     |                                     |                      |
| <b>Transaction with equity holders recognized directly in equity</b> |                          |                           |                                     |                                     |                      |
| Proceeds from right issue of ordinary shares                         | -                        |                           |                                     |                                     | -                    |
| Transferred to/from reserves During the Period                       |                          |                           | -                                   | -                                   | -                    |
| <b>Balance as at 30th September, 2020 (Unaudited*)</b>               | <b>1,791,478,691</b>     | <b>3,000,000</b>          | <b>73,766,353</b>                   | <b>304,458,570</b>                  | <b>2,172,703,614</b> |

\* The above figures are provisional and subject to audit.

\* Figures in brackets indicate deductions.

|                                                                                           | 30.09.2020<br>Rs.<br>Unaudited* | 30.09.2019<br>Rs.<br>Unaudited* |
|-------------------------------------------------------------------------------------------|---------------------------------|---------------------------------|
| <b>Cash Flows From / (Used in) Operating Activities</b>                                   |                                 |                                 |
| <b>Profit Before Tax</b>                                                                  | 21,250,800                      | 63,000,830                      |
| Adjustments for                                                                           |                                 |                                 |
| Depreciation and amortization                                                             | 29,566,219                      | 26,923,633                      |
| Depreciation for Lease Buildings                                                          | 17,187,341                      | -                               |
| Lease Interest expense                                                                    | 9,056,140                       | -                               |
| Impairment of lease hire purchase, loans and advances                                     | 184,601,101                     | 170,195,240                     |
| Early termination of loans, leases and hire purchase                                      | -                               | (10,157,077)                    |
| Non-cash items included in profit before tax (WHT and Notional tax)                       | 37,816                          | (822,249)                       |
| Net Interest Margin Adjustment                                                            | -                               | -                               |
| Interest income on commercial papers                                                      | -                               | -                               |
| Profit on sale of vehicle stock                                                           | -                               | 515,428                         |
| Interest income on Unit Trust                                                             | -                               | -                               |
| Profit on sale of held for trading securities                                             | -                               | -                               |
| Gain/loss on fair valuation of held for trading securities                                | -                               | -                               |
| Gains from sale of property, plant and equipment, investment property and real estate inv | 774,840                         | (108,578)                       |
| Provision for retirement benefit liability                                                | 4,200,000                       | 4,576,830                       |
| Interest expense on other borrowings                                                      | 404,738,409                     | 413,794,549                     |
| <b>Profit from Operation Before Working Capital Changes</b>                               | <b>671,412,666</b>              | <b>667,918,606</b>              |
|                                                                                           | -                               | -                               |
| (Increase)/Decrease in Lease Rentals Receivable and Hire Purchase                         | 621,602,938                     | (190,882,995)                   |
| Increase in Loans and Advances                                                            | 231,225,086                     | (476,217,123)                   |
| (Increase)/Decrease in Other Receivables                                                  | 37,817                          | (5,473,381)                     |
| (Increase)/Decrease in Deposits and Prepayments                                           | 17,023,410                      | (1,018,606)                     |
| (Increase)/Decrease in Other Financial Assets                                             | -                               | -                               |
| Increase in Deposits from Customers                                                       | (68,246,874)                    | (1,278,673,702)                 |
| Increase/(Decrease) in Other Liabilities                                                  | (61,362,433)                    | (194,415,527)                   |
| <b>Net Cash From/(Used in) Operating Activities before Income Tax Payments</b>            | <b>1,411,692,610</b>            | <b>(1,478,762,728)</b>          |
| Taxes Paid                                                                                | -                               | (14,730,350.00)                 |
| Gratuity Paid                                                                             | (1,725,250)                     | (705,000.00)                    |
| Rent paid                                                                                 | (13,391,324)                    | -                               |
| <b>Net Cash From Operating Activities</b>                                                 | <b>1,396,576,036</b>            | <b>(1,494,198,078)</b>          |
| <b>Cash Flows from / (Used in) Investing Activities</b>                                   |                                 |                                 |
| Acquisition of Property, Plant and Equipment & Intangible Assets                          | (4,829,959)                     | (17,318,418)                    |
| Acquisition of intangible assets                                                          | (1,106,768)                     | (8,377,918)                     |
| Acquisition and proceeds from sale of Investment Property                                 | -                               | (140,000)                       |
| Proceeds from sale of investment property                                                 | (35,000)                        | -                               |
| Acquisition and proceeds of Vehicle Stock / IP                                            | 2,900,000                       | 5,450,000                       |
| Proceeds from sale of vehicle stock                                                       | -                               | -                               |
| Proceeds from commercial papers                                                           | -                               | -                               |
| Investments in commercial papers                                                          | -                               | -                               |
| Investments in Unit Trust                                                                 | -                               | -                               |
| Proceeds from Unit Trust                                                                  | -                               | -                               |
| Proceeds from sales of held for trading securities                                        | -                               | -                               |
| Proceeds from sales of property, plant and equipment                                      | -                               | 260,161                         |
| <b>Net Cash Flows From/(Used in) Investing Activities</b>                                 | <b>(3,071,727)</b>              | <b>(20,126,175)</b>             |
| <b>Cash Flows from / (Used in) Financing Activities</b>                                   |                                 |                                 |
| Repayment of Other Borrowed Funds                                                         | (2,397,301,131)                 | (1,743,550,956)                 |
| Proceeds from Other Borrowed Funds                                                        | 1,596,000,000                   | 3,115,691,599                   |
| Dividends paid                                                                            | -                               | -                               |
| Proceeds from Rigt issue                                                                  | -                               | 150,985,146                     |
| <b>Net Cash Flows From/(Used in) Financing Activities</b>                                 | <b>(801,301,131)</b>            | <b>1,523,125,789</b>            |
| <b>Net Increase in Cash and Cash Equivalents</b>                                          | <b>592,203,178</b>              | <b>8,801,536</b>                |
| <b>Cash and Cash Equivalents at the Beginning of the Period</b>                           | <b>1,313,792,053</b>            | <b>1,204,248,031</b>            |
| <b>Cash and Cash Equivalents at the End of the Period</b>                                 | <b>1,905,995,231</b>            | <b>1,213,049,566</b>            |
| <b>At the End of the Period</b>                                                           |                                 |                                 |
| Cash and Cash Equivalents                                                                 | 766,920,748                     | 595,917,384                     |
| Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds              | 1,228,511,946                   | 825,453,929                     |
| Bank Overdraft                                                                            | (89,437,464)                    | (208,321,746)                   |
|                                                                                           | <b>1,905,995,231</b>            | <b>1,213,049,567</b>            |

\* The above figures are provisional and subject to audit.

|                                           | Finance Lease |               | Hire Purchase |            | Loans and Advances |               | Investment    |             | Gold Loan     |               | Other         |               | Total          |                |
|-------------------------------------------|---------------|---------------|---------------|------------|--------------------|---------------|---------------|-------------|---------------|---------------|---------------|---------------|----------------|----------------|
|                                           | 30.09.2020    | 30.09.2019    | 30.09.2020    | 30.09.2019 | 30.09.2020         | 30.09.2019    | 30.09.2020    | 30.09.2019  | 30.09.2020    | 30.09.2019    | 30.09.2020    | 30.09.2019    | 30.09.2020     | 30.09.2019     |
|                                           | Rs.           | Rs.           | Rs.           | Rs.        | Rs.                | Rs.           | Rs.           | Rs.         | Rs.           | Rs.           | Rs.           | Rs.           | Rs.            | Rs.            |
| Interest Income                           | 509,716,430   | 630,758,114   | 921,222       | 184,254    | 407,760,622        | 507,138,726   | 31,597,792    | 55,481,077  | 440,517,073   | 296,735,291   | 17,265,231    | 17,140,622    | 1,407,778,369  | 1,507,438,084  |
| Other Income                              | 662,755       | 33,290,881    | -             | -          | 3,500,866          | 18,490,717    | -             | -           | 30,314,218    | 93,755,939    | 14,789,496    | 2,376,934     | 49,267,335     | 147,914,471    |
| Total Revenue                             | 510,379,185   | 664,048,994   | 921,222       | 184,254    | 411,261,488        | 525,629,443   | 31,597,792    | 55,481,077  | 470,831,291   | 390,491,230   | 32,054,727    | 19,517,556    | 1,457,045,704  | 1,655,352,555  |
| Segmental Result                          | 16,200,896    | 35,024,967    | 29,242        | 9,718      | 13,054,617         | 27,724,090    | 1,003,004     | 2,926,325   | 14,945,533    | 20,596,285    | 1,017,509     | 1,029,445     | 46,250,800     | 87,310,830     |
| Value Added Tax on Financial Services     |               |               |               |            |                    |               |               |             |               |               |               |               | (25,000,000)   | (24,310,000)   |
| Profits from Operations                   |               |               |               |            |                    |               |               |             |               |               |               |               | 21,250,800     | 63,000,830     |
| Income Tax Charge/Reversal for the Period |               |               |               |            |                    |               |               |             |               |               |               |               | (20,000,000)   | (8,950,000)    |
| Net profit for the Period                 |               |               |               |            |                    |               |               |             |               |               |               |               | 1,250,800      | 54,050,830     |
| Segment Assets                            | 3,089,786,379 | 4,242,748,312 | -             | 12,627,944 | 4,264,432,262      | 4,693,775,717 | 1,228,511,946 | 825,453,929 | 4,239,968,040 | 3,110,281,250 | -             | -             | 12,822,698,628 | 12,884,887,152 |
| Unallocated Assets                        | -             | -             |               |            |                    |               |               |             |               |               | 1,825,981,797 | 1,613,408,881 | 1,825,981,797  | 1,613,408,881  |
| Total Assets                              | 3,089,786,379 | 4,242,748,312 | -             | 12,627,944 | 4,264,432,262      | 4,693,775,717 | 1,228,511,946 | 825,453,929 | 4,239,968,040 | 3,110,281,250 | 1,825,981,797 | 1,613,408,881 | 14,648,680,425 | 14,498,296,033 |
| Segment Liabilities                       | 2,990,520,923 | 4,047,411,146 | -             | 12,046,550 | 4,127,429,000      | 4,477,673,140 | 1,189,043,587 | 787,449,829 | 4,103,750,739 | 2,967,083,144 | -             | -             | 12,410,744,249 | 12,291,663,808 |
| Unallocated Liabilities                   | -             | -             |               |            |                    |               |               |             |               |               | 65,232,563    | 48,708,163    | 65,232,563     | 48,708,163     |
| Total Liabilities                         | 2,990,520,923 | 4,047,411,146 | -             | 12,046,550 | 4,127,429,000      | 4,477,673,140 | 1,189,043,587 | 787,449,829 | 4,103,750,739 | 2,967,083,144 | 65,232,563    | 48,708,163    | 12,475,976,812 | 12,340,371,971 |

In determining segment results,

Expenses have been allocated proportionately based on interest income

Segment Liabilities have been proportionately allocated based on the segment assets.

01. The Interim Financial Statements are in compliance with the Sri Lanka Accounting Standard - LKAS 34: Interim Financial Reporting and the provisions of the Companies Act No. 7 of 2007 and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
02. The company has adopted consistent accounting policies and methods of computation as disclosed in the Annual Report for the year ended 30th September 2020.
03. The Interim financial statements of Asia Asset Finance PLC for the period ended 30th September, 2020 (including comparatives) were approved and authorized for issue on 12th November, 2020 in accordance with a resolution of the board of directors on 12th November, 2020.
04. The presentation and classification of the financial statements for previous periods have been amended where relevant for better presentation and to be comparable with those of the current period.
05. Earning per share has been annualised for the quarter ended 30th September, 2020 in the statement of Comprehensive income.
06. Subsequent to Balance sheet date, no circumstances have arisen that would require adjustments to or disclosure in the Financial statements.

07. Stated capital is represented by number of shares in issue as follows.

|                                                | 30.09.2020  | 31.03.2020  |
|------------------------------------------------|-------------|-------------|
| Issued and Fully Paid Ordinary Shares (Quoted) | 124,195,533 | 124,195,533 |

08. Market Value of Shares

|                      | 30.09.2020 | 31.03.2020 |
|----------------------|------------|------------|
|                      | Rs.        | Rs.        |
| Highest Traded Price | 10.50      | 8.80       |
| Lowest Traded Price  | 5.30       | 5.50       |
| Closing Price        | 9.00       | 5.50       |

09. There has been no significant change to the contingent liabilities disclosed in the previous Audited Financial statements.

10. Major 20 share holders as at 30th September 2020

| NAME                                                           | No of Shares | (%)   |
|----------------------------------------------------------------|--------------|-------|
| 1 MUTHOOT FINANCE LIMITED                                      | 90,558,778   | 72.92 |
| 2 SEYLAN BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD               | 7,560,504    | 6.09  |
| 3 HATTON NATIONAL BANK PLC / SRI DHAMAN RAJENDRAM ARUDPRAGASAM | 3,095,431    | 2.49  |
| 4 J.B. COCOSHELL (PVT) LTD                                     | 2,259,032    | 1.82  |
| 5 MR P.A.D.R.U. PUSHPAKUMARA                                   | 1,675,000    | 1.35  |
| 6 PEOPLE'S LEASING & FINANCE PLC/MR.W.K.R.JAYAKODY             | 1,501,280    | 1.21  |
| 7 HATTON NATIONAL BANK PLC / SUBRAMANIAM VASUDEVAN             | 748,835      | 0.60  |
| 8 MR K.M.S.M. RAZEEK & MR K.S.M. RAJUBDEEN & MR S.M.R. MOHAMED | 740,000      | 0.60  |
| 9 MR C.W. GUNASEKARA                                           | 500,000      | 0.40  |
| 10 MERCHANT BANK OF SRILANKA & FINANCE PLC / W.K.R.JAYAKODI    | 403,000      | 0.32  |
| 11 MR H.K.K.S HISSWELLA                                        | 391,821      | 0.32  |
| 12 MR P.P. SUBASINGHE                                          | 302,623      | 0.24  |
| 13 MR. R UDALAGAMA                                             | 249,830      | 0.20  |
| 14 MRS M. ARUDPRAGASAM                                         | 243,562      | 0.20  |
| 15 SAMPATH BANK PLC/MR. ABISHEK SITHAMPALAM                    | 229,389      | 0.18  |
| 16 MIS A.C JAYASINGHE                                          | 200,001      | 0.16  |
| 17 DFCC BANK PLC/MR.C.R PERERA                                 | 200,000      | 0.16  |
| 18 MR U.C. BANDARANAYAKE & MRS L. BANDARANAYAKE                | 200,000      | 0.16  |
| 19 MR T.S. SALIM                                               | 187,500      | 0.15  |
| 20 MR M.S HIRIPITIYA                                           | 169,174      | 0.14  |
|                                                                | 111,415,760  | 89.71 |
| Othres                                                         | 12,779,773   | 10.29 |
| Total                                                          | 124,195,533  | 100   |

| Notes | No of Shareholders | % of Shareholding |
|-------|--------------------|-------------------|
|-------|--------------------|-------------------|

11. Shares held by public as at 30th September 2020

2,333 27.04%

12. Directors Share Holding

| Name                                    | No. of Shares<br>30.09.2020 | %     |
|-----------------------------------------|-----------------------------|-------|
| Mr. V. A Prasanth                       | -                           | -     |
| Mr.Rajiv James Abeywickrema Gunawardena | -                           | -     |
| Ms.Dayangani Priyanthi Pieris           | 60,000                      | 0.048 |
| Mr.R.A.T.P.Perera                       | -                           | -     |
| Mr.G.Alexander                          | -                           | -     |
| Mr.K.R.Bijimon                          | -                           | -     |
| Mr.R.A.B. Basnayake                     | -                           | -     |
| Mr.J.P.D.R. Jayasekara                  | -                           | -     |
| Mr.K.G.K.Pillai                         | -                           | -     |

10. Utilization of right Issue Fund

| Objecti<br>ve No | Objective as<br>per<br>Prospectus<br>/Circular | Opening Date       | Branch            | Amount allocated<br>as per<br>Prospectus/Circular<br>in LKR | Proposed<br>date of<br>utilization as<br>per | Amount allocated from<br>Proceeds in LKR A | % of<br>total<br>procee<br>ds | Amount utilized<br>in LKR B | %<br>utilization<br>against<br>allocation |
|------------------|------------------------------------------------|--------------------|-------------------|-------------------------------------------------------------|----------------------------------------------|--------------------------------------------|-------------------------------|-----------------------------|-------------------------------------------|
| 1                | Approved 10<br>branches                        | 2018 November -19  | Thalawakele       | 40,092,350.48                                               | 10.08.2019                                   | 40,092,350.48                              | 10%                           | 40,092,350.48               | 100%                                      |
|                  |                                                | 2018 November -19  | Gampola           | 47,219,327.96                                               | 10.08.2019                                   | 47,219,327.96                              | 12%                           | 47,219,327.96               | 100%                                      |
|                  |                                                | 2019 January -16   | Ragala            | 51,195,027.44                                               | 10.08.2019                                   | 51,195,027.44                              | 13%                           | 51,195,027.44               | 100%                                      |
|                  |                                                | 2018 November -24  | Nawalapitiya      | 47,067,363.49                                               | 10.08.2019                                   | 47,067,363.49                              | 12%                           | 47,067,363.49               | 100%                                      |
|                  |                                                | 2018 December -21  | Chunnakam         | 49,532,616.32                                               | 10.08.2019                                   | 49,532,616.32                              | 12%                           | 49,532,616.32               | 100%                                      |
|                  |                                                | 2019 February - 25 | Puthukkudiyiruppu | 34,700,967.45                                               | 10.08.2019                                   | 34,700,967.45                              | 9%                            | 34,700,967.45               | 100%                                      |
|                  |                                                | 2019 April -24     | Kalmunai          | 37,463,912.37                                               | 10.08.2019                                   | 37,463,912.37                              | 9%                            | 37,463,912.37               | 100%                                      |
|                  |                                                | 2019 Decemebr -05  | Mullativu         | 31,532,119.24                                               | 19.12.2019                                   | 31,532,119.24                              | 8%                            | 31,532,119.24               | 100%                                      |
|                  |                                                | 2020-December- 09  | Matale            | 35,474,425.31                                               | 06.02.2020                                   | 35,474,425.31                              | 9%                            | 35,474,425.31               | 100%                                      |
|                  |                                                | 2020-January -03   | Kegalle           | 28,265,003.94                                               | 03.07.2020                                   | 28,265,003.94                              | 7%                            | 28,265,003.94               | 100%                                      |
|                  |                                                |                    |                   | 402,543,114.00                                              |                                              | 402,543,114.00                             | 100%                          | 402,543,114.00              |                                           |

**NOTES TO THE FINANCIAL STATEMENTS**  
**AS AT 30TH SEPTEMBER, 2020**

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**13 Corporate Information**

**Name of the Company**

Asia Asset Finance PLC

**Legal Form**

Incorporated as a Private Limited Liability Company under the Companies ordinance, no 51 of 1938 (Cap 145) on 23 September 1970 and name changed under the Companies ordinance, no 51 of 1938 (Cap 145) on 03 October 2006 and Re-registered under the companies Act No.07 of 2007 on 23 January 2008 and converted to a public company under the companies Act No.07 of 2007 on 20 March 2012.

**Registration Number (Under the Companies Act No.17 of 1982)**

PVS/PBS 3266

**New Registration Number (Under the Companies Act No.7 of 2007)**

PB 139 PQ

**Registered Office**

No.76/1, Dharmapala Mawatha, Colombo 03.

**Telephone**

011 5 66 99 22

**Fax**

011 2 57 74 77

**E-mail**

[info@asiaassetfinance.lk](mailto:info@asiaassetfinance.lk)

**Website**

<http://www.asiaassetfinance.lk/>

**Board of Directors of the Company**

Mr. V.A Prasanth

Mr.Rajiv James Abeywickrema Gunawardena

Mrs.Dayangani Priyanthi Pieris

Mr.Thusitha Perera

Mr.George Muthoot Alexander

Mr.Kuttikattu Rajappan Bijimon

Mr.Kiran Gopala Krishna Pillai

Mr.Rajitha Ananda Bandara Basnayake

Mr.Danasiri Rupakumara Jayasekara

**Company Secretary**

P R Secretarial Services (Pvt) Ltd

59 Gregory Road,

Colombo 07.

**Lawyers of the Company**

Shiranthi Gunawardane Associates

1056 Mardana Road,

Colombo 08.

**Company Registrars**

P W Corporate Secretarial (Pvt) Ltd

3/17, Kynsey Road, Colombo 08

**Company Auditors - External**

BDO Partners

65/2, Sir Chiththapalam A Gardiner Mawatha,

Colombo 02.

**Bankers of the Company :**

Bank of Ceylon

Commercial Bank of Ceylon PLC

DFCC Bank PLC

Hatton National Bank PLC

Pan Asia Banking Corporation PLC

People's Bank

Sampath Bank PLC

National Development Bank PLC

Seylan Bank PLC

Indian Bank

Nation Trust Bank

**Audit Committee**

Mr.Thusitha Perera

Mr. Danasiri Rupakumara Jayasekara

Mr. V.A Prasanth

Mr.Kiran Gopala Krishna Pillai

Mr.Rajitha Ananda Bandara Basnayake

**Integrated Risk Management Committee**

Mr. V.A Prasanth

Mr.Thusitha Perera

Mr.Rajiv James Abeywickrema Gunawardena

Mr.Roshan De Silva Gunasekara (COO)

Mr. Danasiri Rupakumara Jayasekara

Mr.Kuttikattu Rajappan Bijimon

**Remuneration Committee**

Mr. V.A Prasanth

Mr.Thusitha Perera

Mr.George Muthoot Alexander

Mr.Rajitha Ananda Bandara Basnayake

Mr.Danasiri Rupakumara Jayasekara

**Related Party Transactions Review Committee**

Mr.Danasiri Rupakumara Jayasekara

Mrs.Dayangani Priyanthi Pieris

Mr.Kuttikattu Rajappan Bijimon

Mr.Rajitha Ananda Bandara Basnayake

**IT committee**

Mr.Rajitha Ananda Bandara Basnayake

Mr.Rajiv James Abeywickrema Gunawardena

Mrs.Dayangani Priyanthi Pieris

Mr.Danasiri Rupakumara Jayasekara

**Credit Committee**

Mr.Danasiri Rupakumara Jayasekara

Mr.Rajiv James Abeywickrema Gunawardena

Mr. V.A Prasanth

Mr.Kuttikattu Rajappan Bijimon